

Insights & Recommendations

HR Analytics — Employee Attrition Analysis

1. Executive Insight

The analysis of **1,470 employees** identified an overall employee attrition rate of **16.12%**, with **237 employees having left the organization**.

The analysis indicates that employee attrition is not evenly distributed across the workforce. Turnover is particularly concentrated among **early-career employees, lower job levels, employees working overtime, employees with lower satisfaction levels, and employees in specific high-risk roles and departments**.

These patterns provide clear opportunities for targeted retention strategies rather than applying a one-size-fits-all HR intervention.

2. Key Analytical Insights

● Early-Career Employees Have the Highest Attrition Risk

Employees with **0–2 years of tenure** recorded the highest attrition rate at **29.82%**, compared with only **8.13%** among employees with 10+ years of tenure.

Similarly, employees aged **18–25** recorded the highest age-group attrition rate at **35.77%**.

Insight:

The organization faces a significant retention challenge among younger and newly hired employees.

● Overtime Is Strongly Associated with Attrition

Employees who work overtime recorded an attrition rate of **30.53%**, compared with **10.44%** among employees who do not work overtime.

This represents an attrition rate approximately **three times higher** among overtime employees.

Insight:

Excessive workload and work-pressure may be important contributors to employee turnover.

● Lower Job Levels Experience Higher Turnover

Job Level 1 recorded the highest attrition rate at **26.34%**, compared with **4.72%** for Job Level 4.

Insight:

Employees at the entry/lower organizational levels appear considerably more vulnerable to turnover, potentially due to compensation, career progression, workload, or limited advancement opportunities.

● Salary Is Associated with Employee Attrition

Employees earning **up to ₦5K salary slab** recorded the highest attrition rate at **21.76%**, while employees earning **₦15K+** recorded only **3.76%**.

Insight:

Lower compensation levels are associated with substantially higher employee turnover.

Note: The salary figures in this dataset are treated as the dataset's monetary units; they should not automatically be interpreted as Nigerian Naira without confirmation of the source system.

● Satisfaction Levels Matter

Employees with the lowest:

- **Job Satisfaction** recorded a **22.84%** attrition rate.
- **Environment Satisfaction** recorded a **25.35%** attrition rate.
- **Work-Life Balance** recorded a **31.25%** attrition rate.

Insight:

Employee experience and workplace conditions appear to be important factors associated with attrition.

● Sales and Specific Job Roles Require Attention

The **Sales department** recorded the highest departmental attrition rate at **20.63%**.

At the job-role level, **Sales Representatives** recorded the highest attrition rate at **39.76%**, followed by **Laboratory Technicians** at **23.94%**.

Insight:

Retention initiatives should prioritize high-risk departments and roles rather than treating attrition as an organization-wide problem with identical causes.

● Business Travel Is Associated with Higher Attrition

Employees who **travel frequently** recorded an attrition rate of **24.91%**, compared with **14.96%** among employees who travel rarely and **8.00%** among non-travel employees.

Insight:

Frequent business travel may contribute to employee fatigue, reduced work-life balance, or job dissatisfaction.

● Stock Options Show a Potential Retention Effect

Employees with **Stock Option Level 0** recorded a **24.41%** attrition rate, while employees with Stock Option Levels 1 and 2 recorded significantly lower rates of **9.40%** and **7.59%**, respectively.

Insight:

Employee benefits and long-term incentives may contribute to employee retention.

However, Stock Option Level 3 recorded a higher attrition rate of **17.65%**, indicating that the relationship is not perfectly linear and requires further investigation.

3. Business Recommendations

🎯 1. Strengthen Early-Career Retention

Develop a structured **0–2 year employee retention program** focused on:

- Structured onboarding
- Mentorship programs
- Career development plans
- Regular manager check-ins
- Early performance feedback
- Professional development opportunities

Priority: High

□ 2. Review Overtime and Workload

HR should investigate departments and roles with consistently high overtime levels.

Recommended actions include:

- Monitoring overtime hours
- Reviewing staffing levels
- Redistributing workloads
- Introducing workload escalation mechanisms
- Monitoring employee fatigue and burnout indicators

Priority: High

3. Review Compensation for High-Risk Employees

Conduct a compensation review for employees in lower salary bands, particularly where high attrition coincides with low job levels or high workload.

The organization should assess:

- Internal salary equity
- Market competitiveness
- Promotion-linked salary increases
- Compensation gaps between roles
- Retention incentives for critical positions

Priority: High

4. Improve Career Progression

Because lower job levels experience significantly higher attrition, HR should establish clearer career pathways.

Recommended actions:

- Define promotion criteria
- Introduce career progression frameworks
- Provide skill-development programs
- Increase internal mobility opportunities
- Identify high-potential employees early

Priority: High

5. Improve Employee Satisfaction

Employees with low satisfaction levels should be identified through periodic employee surveys and manager feedback.

HR should focus on:

- Workplace environment
- Manager-employee relationships
- Recognition programs
- Employee engagement
- Work-life balance
- Psychological safety

Priority: Medium–High

6. Develop Targeted Department and Role Retention Strategies

The **Sales department** and particularly **Sales Representatives** should receive targeted retention analysis.

HR should investigate:

- Compensation
- Sales targets
- Workload
- Overtime
- Managerial support
- Career progression
- Employee satisfaction

Priority: High

7. Review Frequent Business Travel

For employees who travel frequently, HR should consider:

- Travel workload monitoring
- Adequate recovery time
- Flexible work arrangements
- Travel rotation
- Travel-related employee support

Priority: Medium

🎁 8. Strengthen Employee Benefits and Retention Incentives

The relationship between stock-option levels and attrition suggests that long-term incentives may support retention.

HR should evaluate whether additional benefits, recognition programs, or long-term incentives can be targeted toward employees with higher turnover risk.

Priority: Medium

4. Recommended HR Retention Strategy

Based on the analysis, the organization should prioritize its retention strategy around five major areas:

Priority Area	Evidence	Recommended Action
Early-Career Retention	29.82% attrition for 0–2 years	Mentorship & structured onboarding
Overtime	30.53% attrition	Workload & staffing review
Compensation	21.76% attrition in lowest salary slab	Compensation review
Career Progression	26.34% attrition at Job Level 1	Career pathway development
Employee Experience	31.25% attrition at lowest Work-Life Balance level	Engagement & wellbeing initiatives

5. Strategic Conclusion

The analysis shows that employee attrition is concentrated around identifiable workforce segments rather than being uniformly distributed across the organization.

The highest-risk groups include **early-career employees, lower job-level employees, overtime workers, lower-paid employees, employees experiencing lower satisfaction, and employees in specific high-attrition roles and departments.**

Therefore, the recommended approach is to move from **reactive employee replacement to proactive, data-driven retention management.**

HR leadership can use these findings to:

- Identify high-risk employee segments

- Prioritize retention investments
- Monitor workforce trends
- Evaluate the effectiveness of HR interventions
- Improve employee experience
- Reduce avoidable employee turnover

Final Business Message

Employee attrition is measurable, segmentable, and actionable. By identifying where turnover is concentrated and investigating the factors associated with it, HR can move from simply reporting attrition to actively managing employee retention.

✦ Analytical Disclaimer

This analysis identifies **associations and patterns** within the HR dataset. The observed relationships between factors such as overtime, salary, satisfaction, tenure, and attrition **should not automatically be interpreted as causal relationships.**

Further analysis, employee surveys, qualitative interviews, and longitudinal workforce data would be required to establish causality and determine the effectiveness of specific HR interventions.